# What Is a Medicaid Plan?

A plain-language guide for a family whose parent needs care now.

People keep telling you that you need a plan for Mom. The facility says it, a friend says it, and so does half of what you read online. Nobody has said what a plan actually has in it, or which problem it starts with.

This guide explains what a Medicaid plan is made of and who has a hand in each part, in general terms. It explains. It doesn't plan, and it can't tell you the rules in your state.

## A plan starts from three summaries

Before anyone can say what to do, a plan needs to know where things stand. The roadmap asks for three short summaries: Mom's care situation, her financial situation, and where things stand with Medicaid.

The care summary is about daily life. Medicare.gov describes long-term care as medical and non-medical care for people who have a chronic illness or disability, most of it help with basic personal tasks such as dressing, bathing and using the bathroom. [1]

The financial summary is what Mom has coming in, what she owns and what she owes. The Consumer Financial Protection Bureau's guide for people managing a relative's money puts it plainly: to make careful decisions, you need to know what the person owns and owes. [2]

The Medicaid summary is what you've learned or been told so far about Medicaid for Mom. Medicare.gov says Medicare and most health insurance don't pay for long-term care services, and that most people who enter nursing homes start by paying out of pocket. Medicaid is a different program: the federal Administration for Community Living describes it as a joint federal and state program that, unlike Medicare, does pay for custodial care in nursing homes and at home, for people who meet its requirements. [1] [3] [4]

- Each summary can be a few lines. Round numbers are fine.
- Where you don't know, write “don't know yet.” A gap that is written down is something a professional can work with.

## The open issues, and whose they are

With the three summaries side by side, a plan names what is unsettled. The roadmap calls these barriers and open issues and sorts them into six areas: care, income, assets, transfers, documents and legal matters.

What any one of them means for Mom isn't something a guide can say. The Administration for Community Living explains that Medicaid's rules are based on federal requirements but states have considerable leeway, so eligibility rules and covered services vary from state to state. [4]

What a guide can say is whose question each one is. The same agency lists preparing power of attorney documents and exploring a person's qualifications for Medicaid among the things elder law attorneys do. And the Consumer Financial Protection Bureau's advice on this point is short: get legal advice, and be very careful about decisions that may affect a person's eligibility for Medicaid. [5] [2]

- For each open issue, the useful note is what you know, how you know it, and who told you.
- A question about a legal document goes to an elder law attorney. A question about an insurance or investment product goes to a licensed professional. A question about the application goes to an applications specialist or the Medicaid agency.
- If you can't tell whose question it is, write that down too. Sorting it is part of the planning conversation with your Medicaid planner.

## Now, before applying, and later

A plan doesn't treat every issue as equally pressing. It sorts them into what must happen now, what needs to happen before applying, and what can wait.

There is no general answer to which goes where. The Administration for Community Living says the best time to apply depends on a person's medical situation, marital status and the complexity of their finances, and that each state takes the applications and makes the eligibility determinations itself. [6]

That is why the order is worked out with your Medicaid planner, from Mom's facts, and why this guide doesn't offer one. The plan also marks which decisions go to an attorney or a licensed financial professional for review before anything is done.

- You can bring “what comes first?” as a question, without having an answer. Working through it is what the planning conversation is for.
- “When should we apply?” is a question for your Medicaid planner or an applications specialist.

## The team, and the page it ends on

The roadmap's plan has a team behind it: your Medicaid planner, an elder law attorney, a licensed financial or insurance professional, care professionals, and a tax professional when one is needed.

The Consumer Financial Protection Bureau tells people who manage a relative's money that they may need help from professionals such as lawyers, financial advisors, accountants, social workers and care managers, and suggests checking each one's qualifications, since many must be licensed or registered. Its guide adds a line for the person in that role: listen to their advice, but remember you are the decision-maker. [2]

The plan itself ends up as a written page: the actions, who is responsible for each, the dates, the professional reviews, and a target application date set with professional guidance. Writing it down matters for an ordinary reason. The Family Caregiver Alliance notes that a written record of what a family agreed can be a helpful reminder, and that each person should understand what they have agreed to do. [7]

## What this means for your family

- “A plan” becomes something you can picture: three summaries, a list of open issues, an order, and a name beside each action.
- Your part is to gather, describe and ask. The order, the timing and any legal or financial decision are worked out with the professionals they belong to.
- Advice from the facility, a friend or a website can go on the page as something you were told, with who said it. It doesn't have to be settled before the planning conversation.
- Paying the facility each month while this is still unclear is the situation the planning step starts from. It doesn't mean anything was missed.
- The aim is that your family knows what to do now, what to do next, and who to ask about when to apply.

**What this guide doesn't do**

It doesn't say what the rule is in your state, whether Mom qualifies for anything, or what your family should do first. It doesn't recommend any legal or financial step, and nothing in it is legal, financial or tax advice. The general statements come from the sources below. The description of the plan is the Medicaid Planning Roadmap's own.


### Ready for the next step?

You know what a Medicaid plan is made of and who has a hand in each part. The planning interview is where it starts to be about your family: it asks about your situation and gives you a free planning report to bring to your Medicaid planner, or to any conversation about paying for care.

**Get Your Free Planning Report ›**

## WHERE THIS COMES FROM


1. Medicare.gov (Centers for Medicare & Medicaid Services), Long-term care
2. Consumer Financial Protection Bureau, Managing someone else’s money: Help for agents under a power of attorney
3. Medicare.gov (Centers for Medicare & Medicaid Services), How can I pay for nursing home care?
4. Administration for Community Living (LongTermCare.gov), Medicaid
5. Administration for Community Living (LongTermCare.gov), Will I Need a Lawyer?
6. Administration for Community Living (LongTermCare.gov), Applying for Medicaid
7. Family Caregiver Alliance, Holding a Family Meeting


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